financial director, said that it would be the Casa de Pedra variety, which was of ‘low cost’.

Ratan moved to offset this advantage. He began talks with Companhia Vale do Rio Doce (CVRD; now Vale, S.A.) of Brazil, a multinational that dealt in metals and mining, on the possibility of a tie-up. It could both counter CSN and a collaboration could be forged between the two companies to acquire Corus. CVRD, through its influential links with the Brazilian National Bank for Economic and Social Development (BNDES), also kept a tab on the moves that CSN might make to secure funding for the acquisition.

Ratan also expressed his interest in starting a Steel Slab Project in Brazil to Roger Agnelli, the CEO of CVRD, something that the Brazilian company was eager to establish. He, however, made it conditional on Tata Steel successfully acquiring Corus. In an apparent bid to preclude CVRD from lending any form of support to CSN and to offset the advantage of the latter’s access to ore, he requested Agnelli to consider joining Tata Steel in bidding for Corus.

In the meantime, CSN was planning to partner with some banks and establish a separate entity called the SPC (Segregated Portfolio Company) to buy Corus, owned 75 per cent by SPC and the rest by CSN. Even as Ratan was talking to CVRD on the possible tie-up, the Brazilian company used its influence to ‘check’ with the ‘Tax Revenue Dept’ how CSN’s effort to capitalize on Corus’s past losses would be viewed by the government. ‘They will transfer iron ore at cost taking advantage of Corus [and] carry forward losses,’ Agnelli told Ratan. The BNDES was also willing to support the Additional Steel Slab Project if Tata Steel would work towards it. It was an incentive for CVRD to work closely with the Tatas.

Having worked with possible collaborators in Brazil, Ratan now refocused his attention on London. As the shareholders’ meeting was postponed, he swung to foreclose the deal with Corus in a move akin to ‘landing behind the enemy lines’. On 9 December, the Tata Steel board met with Ratan in the chair, and approved raising its bid. The next day, Tata Steel raised its bid to 500 pence per share, which aggregated to £4.7 billion ($9.2 billion).

With the bids for Corus getting wide publicity, some of the stakeholders started making comparisons between the strengths of CSN and Tata Steel. The trade unions also voiced their opinion. Their views mattered as they